

LAND LAW II

CONDOMINIUM PROPERTY IN UGANDA

Law applicable.

- 1) Condominium Property Act 2001.
- 2) Condominium Property Regulations S.I NO 29 of 2002.
- 3) Condominium Property (Amendment) Regulations, 2012.
- 4) Condominium Property (Prescription of Maximum Fines under section 30(7)) Regulations 2003.
- 5) Condominium Property (Qualifications of Managing Agent) Regulations, 2003.
- 6) Registration of Title Act Cap 230.
- 7) Land Act Cap 227.

What is a condominium?

A condominium is a form of property ownership involving multiple unit dwellings where a person owns his or her individual unit, but the common areas are owned in common. All members share in the costs and maintenance of the common areas.

Unlike apartments, which are leased by their tenants, condominium units are owned outright. Additionally, the owners of the individual units also collectively own the common areas of the property. A perfect example of a condominium is a large apartment building where you own your individual apartment, but also share in the maintenance of the building's roof, hallways, lobby, elevators, driveway, landscaping, pools, fitness center, and other amenities.

The common areas, amenities, and utilities are managed collectively by the Corporation, Management Board and Managing Agent.

Usually, the exterior maintenance is paid for out of unit owner dues collected and managed under strict rules. The exterior walls and roof are insured by the Corporation, Management Board and Managing Agent, while all interior walls and items are insured by the unit owner.

In summary it is a form of property ownership in which each owner holds title to his/her individual unit, plus a fractional interest in the common areas of the multi-unit project. Each owner pays taxes on his/her property, and is free to sell or lease it. And in essence condominiums, or condos, are apartments that are individually owned.

In Uganda Condominiums are becoming more popular because of better land

utilization, price competitiveness, built-in amenities, and convenient locations and designs.



Advantages of Condominiums.

- a) Better land utilization,
- b) Price competitiveness,
- c) Built-in amenities, and convenient locations and designs.
- d) Condominium ownership appeals to active young singles, couples without children, couples with children, and pre-retirement and retired couples or singles.

Disadvantages of Condominiums.

- a) People live closer together, thereby potentially creating problems from time to time; frequent problem areas include the “five p’s”, pets, parking, personality, parties, and people.
- b) Flexibility may be affected if circumstances require that the condominium be sold in a limited time, as condominiums generally sell more slowly than single-family houses.
- c) Money is tied up in the condominium ownership, which may affect immediate liquidity needs in certain circumstances.
- d) One could be paying for maintenance and operation of amenities that one has no desire or intention to use, e.g. swimming pool, recreational centre, etc.

1. Procedural steps in registering a condominium plan.

According to S. 1 of CPA-2001, a condominium plan means a plan registered in accordance with this Act and includes a phased condominium plan.

- a) The condominium plan shall be presented to the Registrar for registration in quadruplicate and shall indicate the number of units into which the building is divided. **S.2 (2) CPA-2001, Regulations 4, 6, 8 & 11(1) of 2002.**
- b) The developer in depositing a plan with the registrar may indicate whether the plan will be developed at once or in successive phases. **S.2 (3) CPA-2001.** Where a plan is to be developed in phases, it shall be known as a phased condominium plan. **S.2 (4) CPA-2001.**
- c) Where the developer deposits a phased condominium plan the developer shall indicate a time- table for the development of the various phases. **S.2 (5) CPA-2001.**

- d) The Registrar shall not register a condominium plan unless;
It described as a condominium plan, It describes the external surface boundaries of the parcel and the location of the building, It includes a drawing illustrating the units and distinguishing



the units by numbers or other symbols, the boundaries of each unit are clearly defined in the plan, the approximate floor area of each unit is clearly shown in the plan, It is accompanied by a statement containing such particulars as are necessary to identify the title to the parcel, It is accompanied by the certificates from a registered surveyor and a local authority (**see S.10 CPA-2001 & Regulations 7, 11(2) (a) (i) & (ii)**), It is signed by the proprietor, It contains the address at which documents are to be served on the relevant corporation in accordance with section 51 and the plan contains any other particulars prescribed by or under regulations.

S. 9 (1) (a)-(j) CPA-2001.

- e) Further, the condominium plan should be accompanied by a certificate of a registered surveyor to the effect that the structure shown on the plan is within the external surface boundaries of the parcel (land) which is the subject of the plan and if there are projections beyond those external boundaries, that an appropriate easement has been granted as an appurtenance of the parcel; and a certificate of a local authority to the effect that the plan has been approved by the local authority in accordance with any enactment regulating building construction.

S. 10 (1) (a) & (b) CPA-2001.

- f) Once being satisfied that the developer has complied with all the requirements, the Registrar should register the condominium plan in the register and thereafter should close part of the register relating to the land described in the plan.
- g) Upon closure of the register as stated above, the Registrar should open a separate part for each unit described in the plan.
- h) Finally, after payment of the prescribed fees, the Registrar should issue a certificate of title for the unit. **S.3 CPA-2001.** Such certificate of title for each unit issued is deemed to have been issued under the RTA. On this basis, the registered proprietor shall be at liberty to sale, lease, transfer, change or otherwise deal in that unit as per RTA. **S.4 CPA-2001**

2. Sub-division or consolidation of a condominium units.

A condominium unit can be subdivided or consolidated based on the conditions stated in S. 7 CPA-2001. These are;

- a) Must be approved by a local authority.
- b) The condominium plan relating to the unit intended to be subdivided or consolidated must be registered with the Registrar. (**S. 7(1) CPA-2001**),
Regulation 12.



- c) There shall be indicated in the schedule accompanying a condominium plan of subdivision or consolidation, the apportionment among the units and the unit factor for the unit or units in the original condominium plan. **(S. 7 (4) CPA-2001).**
- d) The registrar shall, before accepting to register a proposed condominium plan of subdivision or consolidation, amend the original condominium plan. **(S. 7(5) CPA-2001).**
- e) Upon registration of a condominium plan of subdivision or consolidation such unit shall be subject to the burden and have the benefit of any easements that affect units in the original condominium plan. **(S. 7(3) CPA-2001).**
- f) Upon registration of a condominium plan of subdivision or consolidation, the land comprised in it shall not be dealt with by reference to units in the original condominium plan. **(S. 7(6) CPA-2001).**

3. Change in use a condominium property.

Although a unit owner may change the use of their unit, the same must conform to the following requirements.

- a) The corporation, the planning and local authorities must have unanimously approved and consented to such change of use. **(S. 8 (1) (a) & (b) CPA-2001).**
(For the meaning of corporation, planning authority and local authority, see S. 1 CPA-2001).
- b) Where the change of use of a unit requires modifications to the condominium plan, the owner should submit to the registrar, such a modified condominium plan. **(S. 8 (2) CPA- 2001).**
- c) The registrar on receipt of a modified condominium plan should attach the plan as an annex to the original condominium plan. **(S. 8 (3) CPA-2001).**

4. Common property.

Common property means that part of the condominium property which does not belong to any specific unit and which is used in common by the owners of the units

and includes, the land on which the property is situated, support structures, infrastructure and services.

The common property comprised in a registered condominium plan should be held by the owners of all the units as tenants in common in shares proportional to the unit factors for their respective units. **(S. 6 (2) CPA-2001)**.



A share in the common property cannot be disposed of or become subject to a charge except as appurtenant to the unit of an owner. However, S. 21 CPA-2001 permits the corporation by a unanimous resolution to inter alia transfer, lease, grant of easement, or other dealing affecting common property. A certificate under the common seal of the corporation is sufficient evidence of the approval. **(S. 21 (1), (3) & (2) CPA-2001)**. However, no part of the common property should be transferred or leased if it used as access by persons to one or more units. **(S. 21 (4) CPA-2001)**.

The Registrar can only register a transfer or lease of common property if it is accompanied by a certificate under the seal of the corporation and such certificate is conclusive proof of the facts stated therein. **(S. 21 (7) CPA-2001)**.

Common property and each unit comprised in a registered condominium plan shall have as appurtenant to it, such rights of support, shelter and protection, passage or provision of water, sewerage, drainage, gas, electricity, garbage and air, passage or provision of telephone, radio and television services; and any other service of whatever nature. **(S. 14 (1) (a), (b), (c) & (d) CPA-2001)**.

Common property and each unit comprised in a condominium plan shall have as appurtenant to it a right to full, free and uninterrupted access and use of light through or from any windows, doors or other apertures existing at the date of the registration of the condominium plan. The rights created by this section shall carry with them all ancillary rights necessary to make them effective as if they were easements. **(S. 14 (2) & (3) CPA-2001)**.

For easements in favour of unit owner, it is implied that s/he has right to; the subjacent and lateral support of the unit by the common property, the shelter of the unit by the common property, passage or provision of water, sewerage, drainage, gas, electricity, garbage, artificially heated or cooled air and other services including telephone, radio and television services through or by means of any pipes, wires, cables or ducts for the time being existing in the parcel to the extent to which those pipes, wires, cables or ducts are capable of being used in connection with the enjoyment of the unit. **(S. 15 CPA-2001)**.

5. Management of condominium property.

There are three major bodies that are charged with management of condominium property. These are; a) the Corporation, b) Management board and c) Managing agent.

a) Corporation.



This is constituted upon the registration of a condominium plan is in respect of any building or structure to which the plan relates and it operates under the name –“The owners’ Condominium Plan No....”

The corporation should consist of persons who own units in the parcel to which the condominium plan relates. It has perpetual succession and a common seal and can sue and be sued in its corporate name.

The secretary of the corporation should keep custody of the corporation seal. The common seal of the corporation is authenticated by the signature of the chairperson or of any other member authorised in writing by the board and the secretary. (**S. 19 CPA-2001**).

The corporation should make rules for the management of the units and the property of the corporation. (*For further information, see S. 21 CPA-2001*). Also for penalties see S. 30 CPA-2001.

i. Its functions.

NB for the functions of the corporation, see S. 20 CPA-2001

ii. Its dissolution.

A Corporation can be dissolved upon an application for winding it in a court of competent jurisdiction. This application may be filed either by the corporation, owner of a unit or a managing agent. Upon such an order, the corporation shall be dissolved and cease to exist. (**S. 49 CPA-2001**).

b) Management board.

This is a board elected to manage the affairs of the corporation. Whenever a person becomes or ceases to be a member of the board, the corporation should file a notice within fifteen days at the land registry. Such notice should indicate the name and address of that person and the day on which that person became or ceased to be a member of the board as the case may be. (**S. 25 (1) & (2) CPA-2001**).

All acts done in good faith by the board is valid. Any defects in the election of any member or if any of them continues to stay in office the board illegally, shall not affect such acts. (**S. 25 (3) CPA-2001**).

i) **Functions of the Management Board.**

It is suppose to convene one annual general meeting in each year of the unit owners. The first annual general meeting should be called within three months after the election of the board. Subsequent annual general meetings should be held within fifteen months. **(S. 27 CPA-2001).**



ii) Proceeding at the meeting.

For the voting rights of the owners of the units, a chargee and where the owner of the unit is incapable, see Ss. 23 & 24 CPA 2001.

c) Managing agent; appointment and functions.

The Managing agent is appointed by the Management board within twenty eight days after its election. The Managing agent should manage the units, the movable and immovable property of the corporation and the common property. The Managing Agent shall also perform other functions as may be delegated to him or her by the corporation (**S. 28 (1) & (3) CPA-2001**).

The managing agent has powers to refer to court cases of an owner or tenant of a unit who habitually breaches the rules. This therefore implies that the managing Agent is mandated to enforce the rules. Once an owner or tenant of a unit breaches the rules three or more times within a period of one month s/he shall be regarded as a habitual offender. (**S. 31 CPA-2001**).

N.B. refer to The Condominium Property (Qualifications of Managing Agent) Regulations, 2003 for the Qualifications of managing agent.

A management agent should, within twenty one days after a written request for information by an owner, tenant or chargee, and upon payment of a prescribed fee, provide it. **S. 35 (1) (a)-(j) of CPA-2001.**

Where a managing agent relinquishes his or her appointment, the board should appoint a new managing agent within twenty days after the effective date of that relinquishment. (**S. 28 (4) CPA-2001**).

6. Liability of the corporation and unit owners.

The corporation and unit owners are liable as follows;

- a) The corporation liable for any proceedings brought in respect of the common property. This is based on **S. 20 (1) (a) & (b) CPA-2001** which mandates the corporation to manage the common property.

- b) In case of any negligence or unauthorised act or omission of one or more of the owners or former owners of units, the corporation may join the owners or former owners as co-defendants and judgment may be given against the corporation and the owners jointly and severally.



7. Dealings relating to units.

Any developer before s/he or it sells or agree to sell a unit or proposed unit should delivered to the purchaser a copy of the sale agreement, the proposed rules, the proposed management agreement, the proposed recreational agreement, the lease of the parcel, if the parcel on which the unit is located is held under a lease, a certificate of title in respect of the unit or proposed unit, any charge or proposed charge which may affect the title of the unit; and the condominium plan. **(S. 40 (1) (a)-(h) CPA-2001).**

In case the unit is affected by a charge, the developer should deliver to the purchaser a written notice indicating, the maximum principal amount under the charge, the maximum monthly payment, if any, the amortisation period, the grace period if any, the pre-payment terms if any, and the interest rate or the formula, if any, for determining the interest rate. **(S. 40 (2) (a)-(f) CPA-2001).**

The purchaser of a unit can rescind the sale agreement within 10 days after the date of its execution and under such circumstance; he/she shall not be liable for such action. After receipt of the notice of rescission, the developer should return all the purchase money to the purchaser within 10 days. **(S. 40 (3) & (5) CPA-2001).**

However, if before execution of the sale agreement the developer as required by **(S. 40 (1) (a)-(h) CPA-2001)** had delivered all such documents to the purchaser in ten days or more, then the purchaser ceases to have the right of rescission. **(S. 40 (3) & (4) CPA-2001).** If the purchaser violates this provision, he/she shall have committed an offence and liable upon conviction to a fine of 100 currency points. **(S. 53 CPA-2001).**

8. Rights of a developer over the money paid by a purchaser.

The developer or their agent should hold in trust all the money paid by a purchaser under a sale agreement. Such money should immediately after being paid be either deposit in an interest earning trust account maintained in a financial institution licensed under the Financial Institutions Act or alternatively be insured against loss. It can only be paid to the developer as follows;

- a) if the works on the unit and the common property are substantially completed, the money may be paid to the developer on delivery of the title documents to the purchaser. When the works on the unit are substantially complete, the developer should be paid all the purchase money.
- b) if the works on the unit are substantially completed but the improvements to the common property are not substantially completed-



- i. Not more than fifty percent of that money less the interest earned on it may be paid to the developer on delivery of the certificate of title to the purchaser; and
- ii. Upon the works on the common property being substantially completed, the balance of that money and all the interest earned on the total amount held in trust in respect of that sale agreement may be paid to the developer. (**S. 45 CPA-2001**).

NB also consider S. 41 (2)-(4) CPA-2001.

9. Termination of condominium property.

The condominium status of property may, be terminated by a unanimous resolution. An application to terminate the condominium status of a property may be made to a court by the corporation, an owner of a unit, a registered chargee of a unit, or a purchaser under an agreement of sale of a unit. If court is satisfied that it is just and equitable that the condominium status of the property should be terminated, the court may make a declaration to that effect. (**S. 47 CPA-2001**).

Upon such termination, the corporation should file with the registrar a notice of the termination. On receipt of the notice, the registrar should make a notification to that effect on the condominium plan. Once the Registrar notices the termination, the owners of the units in the plan are entitled to the parcel as tenants in common in shares proportional to the unit factors of their respective units. (**S. 48 CPA-2001**).

NB also consider S. 48 (3)-(6) CPA-2001.